Client: Sprinque

Improving the customer journey with embedded finance

Getting the customer experience right is critically important to building a scalable B2B e-commerce platform.

You can have the right product, at the right price, delivered to the right audience, but it might all count for nothing if you don't make the customer journey as painless as possible.

Zero friction

This has long been understood in the consumer world. Companies like Amazon have invested millions of dollars in getting rid of every possible point of friction that stands in the way of a sale. Their research into why customers abandon shopping carts has revealed a lot about how to build a zero-friction customer journey — and many of those lessons are just as valid in the B2C world.

Whether customers are shopping for sunglasses or freight forwarding, they want to be able to find the right product and pay for it with as little hassle as possible. And that last part has been one of the biggest obstacles to B2B e-commerce in the past. Building a website is easy, but offering the kinds of flexible payment terms that business customers are used to is much more difficult.

Flexible payments

Buyers who typically settle invoices after 30 days want the same flexibility when ordering online. A common solution has been to take a hybrid approach, allowing buyers to order online but asking them to call the merchant or submit documents if they want flexible payment terms.

You don't need to be Jeff Bezos to see how this creates friction. Every extra step the customer has to take will result in missed revenue. And vice versa. Every step you can get rid of will improve your sales conversion numbers.

Just like buy now-pay later services on B2C websites, the solution for B2B platforms is to embed net payment options at the point of purchase, making it as convenient as possible for the buyer to complete a transaction using data they have already provided through their onboarding and purchasing history. Instead of having to go to an insurance broker to insure the transaction or a factoring company to get an advance, everything happens on the merchant's website.

This has several benefits:

- **Less friction** – Removing the number of manual steps in the buying process makes buyers more likely to convert and to keep coming back.
- **Improved loyalty** – Providing access to a line of credit helps to build a trust relationship between buyer and seller, which improves customer loyalty to your business. We see buyer retention grow by 40%.
- **More customers** – Combining a variety of data sources improves the ability to screen buyers and increases the acceptance rate for payment terms.

At Sprinque we offer all the above functionality through a simple integration. In addition, by paying the marketplace or merchant at the time of the final invoice, we reduce the risk of default and free up valuable working capital.